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Margin of Error

With the unprecedented bull run, some dubious dealings too gained currency. Thanks to the fantastic run-up in share prices, there were now plenty of mini-operators with a net worth of between Rs 50 crore and Rs 100 crore. These 'jockeys', as they were known in market parlance, were in demand among small- and mid-cap company promoters looking to boost the valuations of their shares.

In addition, there were operators who could even double up as investment bankers for small companies wanting to go public. These operators would have shell accounts abroad masquerading as FIIs, which would subscribe to small-sized IPOs. These operators also provided dummy HNIs to subscribe to the non-institutional portion of the book. In the first week of the stock's listing, volumes and prices would be driven up through circular trading and the shares then dumped on unsuspecting investors.

Many brokerages also allowed their clients to take up excessive leveraged positions through the NBFC margin-financing route. In a margin financed trade, an investor would put up part of the money required to buy a stock, while the lender would put up the rest. SEBI rules permitted brokers to finance clients only up to 50 per cent of the transaction value, and only in stipulated stocks, with the position to be disclosed on the websites of stock exchanges.

At the same time, there were no clear guidelines on margin financing by NBFCs, which would at times lend up to 70 per cent of the transaction value. There were also no restrictions on the stocks that could be funded in this way, and the positions did not have to be disclosed on the stock